Lab 05 — Encode PE and ROE Valuation Rules

Python Programming for Finance · TGS-2026065049 · LO3

Scenario

An equity screen must classify securities consistently at defined PE and ROE thresholds.

Goal

A boundary-tested BUY/HOLD/REVIEW valuation classifier.

Tools

Python, unittest

Step-by-step

1. Read the valuation policy and underline every boundary.

2. Run the starter with PE values 14.99, 15, 25 and 25.01.

```
python starter.py
```

3. Implement classify_valuation() with explicit inclusive boundaries.

4. Combine PE and ROE conditions into the final recommendation.

5. Run boundary tests.

```
python -m unittest test_solution.py
```

6. Explain one classification in evidence.txt.

```
python solution.py > evidence.txt
```

Acceptance criteria

All exact-boundary tests pass and each recommendation includes the rule that produced it.

Evidence

Capture the executed output, validation result, generated file or chart, and a one-sentence finance interpretation.